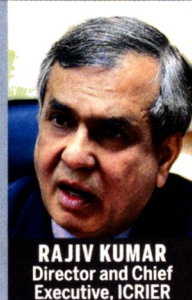
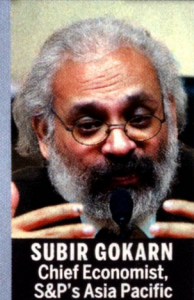
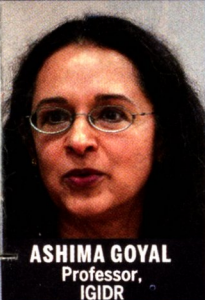


promise of GST and removal of FBT



- The attempt to make inclusion more sustainable
- Some measures to direct subsidy transfers without serious fiscal deterioration
- Measures for education

- Commitment on GST and streamlining of direct taxes
- Higher spends on infrastructure, offsetting possible shortfalls in private investment
- Significant changes in agriculture sector

- Realistic growth target
- Bold approach for reversing economic downturn
- Steps to simplify tax structure and move towards new code

- High on promises, low on implementation
- Method does not come out at all
- No targets for divestments and no details on fiscal consolidation

- Didn't reinforce the commitment to the reforms agenda
- Fiscal deficit may be stimulatory, but poses risks
- No clear strategy to amend FRBM and bring deficit under control

- Lack of policy announcement for stimulating investment
- No clear strategy for restoring fiscal discipline
- Continued complexities in indirect tax regime

Inflation	3%	Inflation	5%	Inflation	3.5-4.5%
Interest	7.5%	Interest	6.4-6.6%	Interest	Will dip
Rs-\$ rate	46	Rs-\$ rate	47-47.5	Rs-\$ rate	Will fall
GDP	7%	GDP	6-6.5%	GDP	6%



* Interest, inflation and Rs-\$ rates are for March 31, 2010

Roy: Yes. It will certainly increase demand for cement and steel. Whenever you talk of large infrastructure projects, demand for vehicles should go up, particularly of trucks.

Bery: Housing would be one of the beneficiaries. But, will the RBI play ball because the finance minister thinks it would? Will it cut interests further?

Debroy: There are three impacts. One is broadly driven by spend in housing, infrastructure and roads. The second will be driven by changes in indirect taxes and import duties. Third, by elimination of surcharge on personal income tax.

WILL IT BOOST GDP GROWTH?

Can we gain the 9% momentum again?

Ranade: Not significantly. I don't think so. It will sustain the current trend of 6.5 to 7 per cent GDP growth.

Goyal: We have diverse sources of demand and this Budget is sort of increasing or supporting those other sources. So, I think, we have enough to stay at 7 per cent growth rate. But that is my disappointment with the Budget, in that it has not taken up all those reports of committees of UPA I. This Budget is just promises, not enough on implementation. So how quickly that other implementation happens is important.

Debroy: It doesn't have additional fuel. But it doesn't inject sand into the engine either. It has a marginal impact on growth trends.

Roy: If you take the growth rate in the last year, a large chunk was in community, social and personal services. There is a feeling this was the effect of the Pay Commission. If you knock that off in around 80-85 per cent of the economy, you have a little less than 5 per cent growth or may be around 5 per cent. Now can that 5 per cent growth be pulled up? Because every year you will not have this largesse. If you knock that out the economy is growing at little less than 5 per cent. Will the Budget raise that level? Yes. Because after all it will possibly lead to higher consumption expenditure, private consumption expenditure, which was also growing at only 2 and odd per cent last year. Possibly that will move up. Net, net, if that private consumption expenditure generates a higher investment. Yes, it will work, probably to around the same level.

Dev: I think we will maintain the same kind of growth like last year. Regarding the spike in growth in community, social, personal services we don't need to worry. This year too there will be, what we call the Pay Commission effect as states and public sector companies will implement new scales. So, that stimulus will be still there. Also, a lot depends on what happens globally. If global growth revives we could look at higher exports and higher growth.

by Shankkar Aiyar, Malini Bhupta, Nivedita Mukherjee and Nandini Valsh

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